

Term Insurance FAQ

Detailed FAQ — Sections 1 to 3

Included sections: Basics of Term Insurance; Eligibility & Purchase; Premium & Pricing

Source: Policybazaar, "Term Life Insurance FAQ Guide", supplied by the user. The source page currently identifies 99 questions and was last updated August 2026. The answers below are detailed paraphrases retaining the substance of the source rather than shortened summaries or verbatim copies.

1. Basics of Term Insurance

Q: What is term insurance?

A: Term insurance is a pure life-insurance product designed to provide financial protection to your family for a fixed period, known as the policy term. If the policyholder dies during that period, the insurance company pays the agreed death benefit to the nominated beneficiaries. Because a pure term plan focuses on life-risk protection rather than savings or investment, it can provide a relatively large amount of life cover for a comparatively affordable premium.

Q: How does a term insurance plan work?

A: A term insurance policy is a contract between the policyholder and the insurer. The policyholder pays the required premiums according to the selected payment schedule and keeps the policy active for the chosen term. If the insured person dies while the policy is in force, the insurer pays the pre-decided death benefit, normally as a lump sum, to the designated beneficiaries or nominee. The exact benefit, exclusions, premium conditions and claim requirements are governed by the policy document.

Q: Why is term insurance important?

A: Term insurance can act as a significant financial safety net for dependents because it provides a large amount of protection for a relatively affordable premium. If the earning member dies unexpectedly during the policy term, the payout can help the family maintain its standard of living and manage financial commitments. Depending on the family's circumstances, the benefit may be used toward household expenses, children's education, outstanding loans, or other financial obligations.

Q: What is the meaning of term life insurance?

A: Term life insurance means life insurance that provides financial protection for a defined period. If the insured dies during that period, the beneficiaries receive the applicable death benefit, subject to the policy's conditions and exclusions. A standard pure term plan normally has no value payable merely because the insured survives the policy term; once the term ends, the cover expires. Products with features such as return of premium can work differently.

Q: What is the difference between term insurance and life insurance?

A: Term insurance is itself a type of life insurance, but it is primarily designed for risk protection over a specified period, such as 10, 20, 30 years or another selected tenure. Other life-insurance products may provide broader or lifelong protection and may combine insurance with savings or investment features. The major practical differences therefore relate to the purpose of the product, duration of coverage, premium structure, maturity benefits and whether a savings or investment component is included.

Q: Is term insurance worth buying?

A: Term insurance can be particularly useful for people who have financial dependents or outstanding liabilities such as a home loan. Its main purpose is to make sure that a family's financial position is not severely affected by the premature death of an earning member. The affordability of a high level of life cover can make it a practical way to protect future income and financial obligations. The appropriate amount of cover, however, depends on an individual's income, liabilities, dependents, assets and financial goals.

Q: What happens when a term insurance policy matures?

A: When a standard pure term insurance policy reaches the end of its selected term and the insured is still alive, the life cover normally ends and there is no maturity payout. Some policies contain special features that alter this outcome. For example, a return-of-premium option may provide a refund of eligible premiums according to the product's conditions. Therefore, the exact maturity outcome should always be checked in the policy schedule and wording.

Q: Does term insurance provide a maturity benefit?

A: A standard term insurance plan is generally a pure-risk product and does not provide a maturity benefit when the insured survives the policy term. Its principal benefit is the death benefit payable if the insured dies while the cover is active. If a product specifically includes a return-of-premium or similar feature, the policy may provide a payment at maturity according to its terms. This should not be assumed for a conventional pure term plan.

Q: What is a pure term insurance plan?

A: A pure term insurance plan is a life-insurance policy focused entirely on providing financial protection against the risk of death during a specified period. It normally does not include a savings or investment component. Because the plan is designed primarily for protection, it can offer a relatively high sum assured for a lower premium compared with products that combine insurance with savings or investment benefits.

Q: How long should I choose the policy term?

A: The policy term should generally be long enough to cover the period during which your family depends on your income and the period in which major financial liabilities need protection. The source recommends considering your primary earning years and financial liabilities, with many people choosing a term that extends toward retirement, often around age 60 to 65, or until dependents become financially independent. The appropriate term is ultimately personal and should reflect your income, liabilities, dependents and long-term plans.

Q: Can I buy term insurance online?

A: Yes. Term insurance can be purchased online through digital insurance platforms and insurer websites. Online purchase can make it easier to compare plans, premiums, coverage and features without relying on a physical intermediary. The source highlights potential advantages such as lower premiums, easier comparison, greater transparency, faster processing and digital discounts. Even when purchasing online, applicants should provide complete and accurate information and carefully review the policy terms before completing the purchase.

Q: Is online term insurance safe?

A: Buying term insurance online can be a safe and transparent process when the policy is purchased through the insurer's official platform or a legitimate insurance intermediary. Digital purchase can also make comparison and documentation more convenient. However, safety does not remove the need to verify the insurer or intermediary, understand the policy wording, provide truthful information, check payment details and retain the policy documents. The actual coverage remains governed by the issued policy and its terms.

Q: What are the benefits of term insurance?

A: The main benefits of term insurance include financial security for dependents, a high level of life cover for a comparatively low premium, income replacement after the policyholder's death, and protection against outstanding debts. Depending on the product, policyholders may also receive flexible payout options and may choose optional riders such as critical-illness or accidental-death benefits. Eligible tax benefits may also apply under the prevailing tax rules. Some products additionally offer a return-of-premium feature, but this is not a standard feature of every pure term plan.

2. Eligibility & Purchase

Q: What is the minimum age to buy term insurance?

A: The minimum age to purchase a term insurance plan is generally 18 years. The source notes that purchasing at a younger adult age, such as in the 20s or early 30s, can help lock in comparatively lower premiums because age is an important factor in underwriting. Actual minimum and maximum ages depend on the specific insurer and product, so the applicable eligibility criteria should be checked before applying.

Q: What is the maximum age to buy term insurance?

A: The maximum entry age depends on the insurer and the particular term insurance product. The source identifies 65 years as a common maximum entry age while noting that some plans can extend eligibility to older ages, potentially 85 or even 99 depending on the product. Older applicants may also have shorter available policy terms and may be subject to more detailed medical underwriting. The exact entry-age limit must therefore be confirmed for the selected plan.

Q: Can students buy term insurance?

A: Students can generally purchase term insurance once they are at least 18 years old, but eligibility can depend on their financial circumstances. Because insurers commonly use income information when assessing the amount of life cover, a non-earning student may have more limited options. Students with education loans, part-time employment, internships or another source of financial responsibility may be able to obtain coverage subject to underwriting and the insurer's rules.

Q: Can housewives buy term insurance?

A: Yes, homemakers can purchase term insurance, subject to the insurer's eligibility and underwriting requirements. Since a housewife or homemaker may not have an independent salary, the insurer can consider factors such as the earning spouse's income, the family's financial circumstances and the requested coverage. The purpose is to establish an appropriate level of financial protection and ensure that the proposed policy is consistent with the insurer's underwriting criteria.

Q: Can senior citizens buy term insurance?

A: Yes, some senior citizens can purchase term insurance. The available entry age varies significantly between insurers and products; the source notes that some plans accept applicants from around age 60 to 75 and may offer terms of five to twenty years or, for some products, coverage extending toward age 100. Older applicants are more likely to face medical underwriting and potentially higher premiums, and the exact options depend on the product.

Q: Can self-employed individuals buy term insurance?

A: Yes. Self-employed individuals can purchase term insurance even though they may not receive conventional salary slips. Insurers can assess income consistency and financial capacity using alternative documents such as Income Tax Returns, bank statements, GST returns, profit-and-loss statements and other financial records. The insurer uses this information to determine financial eligibility and an appropriate amount of cover. The final decision remains subject to the insurer's underwriting criteria.

Q: Can freelancers buy term insurance?

A: Yes. Freelancers can apply for term insurance even when they do not have a fixed monthly salary. Because traditional salary slips may not be available, insurers can use other documents to assess income and financial stability. Depending on the insurer, these can include bank statements, tax returns, invoices or other evidence of earnings. The applicant must provide accurate information, and the insurer may determine the available coverage based on the documented financial profile.

Q: Can unemployed individuals buy term insurance?

A: Unemployed individuals may be able to purchase term insurance, but the underwriting process can be more restrictive. Term insurance is intended to provide financial protection related to the policyholder's earning capacity and dependents, so insurers may require alternative evidence showing the ability to pay premiums and that the requested amount of cover is reasonable. The availability and amount of cover can therefore depend on financial circumstances, existing obligations, and the insurer's underwriting rules.

Q: What documents are required to buy term insurance?

A: Term insurance applications generally require documents that establish the applicant's identity, age, address and financial position, together with relevant medical information. Depending on the applicant and the amount of cover, insurers may request identity and address proof, income documents, photographs, bank or tax records and medical reports or examination results. The documents are used for underwriting, verifying the application and determining the appropriate level of coverage and premium.

Q: What is the minimum sum assured available in term insurance?

A: The minimum sum assured varies between products. The source states that basic standard plans such as Saral Jeevan Bima may start at around ₹5 lakh, while more feature-rich online term plans can have minimum covers in the ₹25 lakh to ₹50 lakh range. The source also mentions ₹1 crore as an industry-standard recommendation in some discussions, but this should not be confused with a universal minimum requirement. The actual minimum is determined by the specific product.

Q: What is the maximum sum assured available in term insurance?

A: There is no single universal maximum sum assured for every applicant or product. The amount of cover an insurer is willing to provide is generally linked to factors such as annual income, age, financial liabilities and the insurer's underwriting assessment. The source notes that standard retail policies may commonly be limited to a multiple of annual income, while high-net-worth applicants can potentially obtain substantially larger covers through detailed financial underwriting. The final limit is product- and applicant-specific.

Q: What should I check before buying term insurance?

A: Before buying a term insurance policy, first estimate the amount of life cover needed based on income, dependents, liabilities, future goals and existing assets or insurance. Then compare insurers and products by looking at the insurer's claims track record, policy features, exclusions, premium, policy term, available riders and payout options. It is also important to disclose health and lifestyle information accurately. Proper comparison and accurate disclosure can help reduce the risk of an unsuitable policy or future claim complications.

Q: Can I buy term insurance without income proof?

A: The source states that income proof is generally required for purchasing term insurance because insurers use financial information to assess financial security, Human Life Value and the appropriate amount of cover. However, the source also notes that there can be exceptions, such as certain low-coverage cases or group policies where the usual income-proof requirement may not apply. Requirements differ by insurer and product, so applicants should confirm the documentation required for the specific policy they are considering.

3. Premium & Pricing

Q: How is the term insurance premium calculated?

A: A term insurance premium is determined by several underwriting factors rather than by the sum assured alone. These can include the applicant's age, health condition, lifestyle, occupation, policy term, chosen sum assured and any additional riders. Online term insurance calculators can provide an estimated premium after these details are entered. The final premium can differ from an online estimate because the insurer may conduct medical underwriting and evaluate the applicant's disclosed health and risk information before issuing the policy.

Q: Why are term insurance premiums low?

A: Term insurance premiums can be comparatively affordable because a pure term plan is primarily a risk-protection product and normally does not contain a savings or investment component. The insurer's principal obligation is the death benefit if the insured dies during the covered term. Because there is generally no maturity payout for surviving a standard pure term plan, the premium is focused on the cost of providing life-risk protection rather than funding a savings corpus.

Q: Which factors affect term insurance premiums?

A: Several personal and policy-related factors can influence the premium. These include the applicant's age, health condition, smoking status, alcohol consumption, occupation and family medical history. The selected policy term and sum assured also affect the price, as can optional riders that add additional benefits. Insurers evaluate these factors because they influence the expected risk and the amount and duration of protection being provided. Different insurers may therefore quote different premiums for similar coverage.

Q: Does smoking increase term insurance premiums?

A: Yes. Smoking generally increases term insurance premiums because insurers consider tobacco use to be associated with higher health and mortality risks. The source specifically notes risks such as blood-pressure problems, heart disease and cancer as reasons insurers may classify smokers as higher risk. Applicants should disclose smoking accurately when applying. Providing incorrect information about tobacco use can create problems during underwriting or claim assessment later.

Q: Does alcohol consumption affect premiums?

A: Yes. Alcohol consumption can affect the premium, particularly where drinking is frequent or heavy. Insurers consider alcohol use because excessive consumption can be associated with increased health risks and mortality. During underwriting, the insurer may ask about the applicant's drinking habits and may use the information along with other health and lifestyle factors to determine the applicable risk category and premium. Accurate disclosure is important when completing the proposal form.

Q: Can premiums increase after policy issuance?

A: The source states that premiums generally do not change after a term policy has been issued, which is one of the commonly cited features of term insurance. However, the precise treatment depends on the policy structure and any changes made to it. The source also discusses situations such as lifestyle changes or additional life-stage requirements, but these should not be interpreted as an automatic right of the insurer to change a fixed premium. Any change in premium or cover should be governed by the policy terms and an approved policy alteration.

Q: Is term insurance cheaper at a younger age?

A: Yes. Term insurance is generally cheaper when purchased at a younger age because age is an important factor in life-insurance underwriting and younger applicants typically have a lower assessed mortality risk. Buying earlier can therefore allow the policyholder to lock in a comparatively lower premium for the selected coverage, subject to the insurer's product and underwriting rules. The actual premium still depends on health, lifestyle, occupation, coverage amount and policy term.

Q: What is the 10x income rule in term insurance?

A: The 10x income rule is a simple rule of thumb that suggests purchasing life insurance cover equal to at least ten times annual income. It is intended to give an initial estimate of the amount of life cover a person might need. It should not be treated as a universal formula because actual requirements depend on liabilities, number of dependents, future financial goals, inflation, existing investments and insurance, and the income that needs to be replaced.

Q: Can women get lower term insurance premiums?

A: The source states that women may receive lower term-insurance premiums in many cases. This can be related to differences in life expectancy and risk assessment, as well as pricing offered by individual insurers. Premiums are still determined by the insurer's underwriting criteria and the applicant's individual profile, including age, health, lifestyle, coverage amount and policy term. Therefore, the actual premium for a woman should be determined through a quote and the insurer's underwriting process rather than assumed from gender alone.

Q: Can I pay premiums monthly?

A: Yes. Many insurers offer multiple premium-payment frequencies, including monthly, quarterly, half-yearly and annual payment options. The available frequencies depend on the insurer and product. Choosing a payment frequency can affect cash-flow convenience, while the actual premium and any applicable loading or discount should be checked in the quote and policy documents. The important point is that the policyholder must keep premiums paid according to the selected schedule to keep the policy active.

Q: Can I change my premium payment frequency?

A: Yes, the source states that policyholders can change their premium-payment frequency through the insurer's service channels. The exact process, timing and available options depend on the insurer and policy terms. A request may need to be submitted through the insurer's portal, customer service or another approved servicing channel. Before changing frequency, the policyholder should confirm whether the change affects the premium amount, due dates, payment method or any other policy condition.

Important: Insurance eligibility, pricing, exclusions, tax treatment and policy conditions can vary by insurer and may change. For an actual purchase or claim, refer to the current policy wording and applicable official regulatory/tax information.